

DEPARTMENT OF THE TREASURY
SF 1014 - JUSTIFICATION FOR AN EXCEPTION
TO FAIR OPPORTUNITY
ACQUISITION TITLE: IRS HP Brand Name Servers

1. Identification of the requiring activity and the contracting activity: The requiring activity is Internal Revenue Services (IRS) Information Technology (IT) Cybersecurity, Architecture & Implementation Office. The contracting activity is the Information Technology Strategy & Modernization Division, Strategy Planning & Cyber Section 2	
2.a Nature and/or description of the action being approved: The purpose of this Justification for an Exception to Fair Opportunity is to obtain approval to award a firm fixed price contract for the purchase of the brand name items described in section 3.a below. The need date for these items is 01/03/2025. Delivery of supplies is required on or before 60 days from date of award. The Period of Performance for services: (CLIN 0003 & 0004) will be provided for five (5) years from the award effective date. This requirement does not include options.	
2.b Name of the vendor. TBD	
2.c Requisition No.: 5000200754	
2.d Bridge contract: ☐ Yes ☒ No	2.e Brand name: ☒ Yes ☐ No
3.a A description of the supplies or services required to meet the agency's needs: This acquisition requires the purchase of Hewlett Packard Enterprise (HPE) Density Line (DL) 380 Servers, to support a range of patterns and applications in the Continuous Diagnostics and Mitigation (CDM) computing environment. The list of HPE supplies is referenced in Attachment 1. Services of this requirement include new analytical initiatives, operations support, installation guidance and support, and the need to match specific technology investments with changes in use patterns. Services will be required via government site and 24/7 on call technical support. Services provided, but not limited to; perform data backup and recovery procedures, business continuity services, infrastructure, system recovery, incident response/management, testing and validation of multiple system operations. Drivers of this requirement include new analytical initiatives, operations support, and the need to match specific technology investments with changes in use patterns. This effort will ensure appropriate levels of technology infrastructure for enterprise analytics and mitigate risks to other management and technical controls related to the separation of production, development, test, and prototyping environments. Purchase of these servers will ensure enhanced security of data at a low-level risk. Furthermore, this effort will ensure appropriate levels of technology infrastructure for enterprise analytics and mitigate risks to other management and technical controls related to the separation of production, development, test, and prototyping environments. It will ensure that CDM and the IRS Chief Information Office (CIO) are meeting operational responsibilities under The Federal Information Security Modernization Act (FISMA) guidelines in the management of IT assets.	
3.b Includes IT: ☒ Yes ☐ No NAICS: 541519 Product Service Code: 7B22	
3.c IGCE/Estimated dollar value: The IGCE amount for this requirement is \$2,932,606.81.	
4.a Identification of the exception to fair opportunity being used: ☐ FAR 16.505(b)(2)(i)(A) – The agency need for the supplies or services is so urgent that providing a fair opportunity would result in unacceptable delays.	

DEPARTMENT OF THE TREASURY
SF 1014 - JUSTIFICATION FOR AN EXCEPTION
TO FAIR OPPORTUNITY
ACQUISITION TITLE: IRS HP Brand Name Servers

- ☐ FAR 16.505(b)(2)(i)(B) – Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized.
- ☐ FAR 16.505(b)(2)(i)(C) – The order must be issued on a sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract, provided that all awardees were given a fair opportunity to be considered for the original order.
- ☐ FAR 16.505(b)(2)(i)(D) – It is necessary to place an order to satisfy a minimum guarantee.
- ☐ FAR 16.505(b)(2)(i)(E) – For orders exceeding the simplified acquisition threshold, a statute expressly authorizes or requires that the purchase be made from a specified source.
- ☒ FAR 16.505(a)(4) – The requirement is for an item peculiar to one manufacturer. (i.e., Brand Name specifications)

4.b Supporting rationale:

The Government currently uses Hewlett Packard Brand Name products at its facility. These brand name products support the Government's need for continuity and expansion of operations. This contract will serve as a vehicle for the renewal and expansion of the brand name Hewlett Packard components with configuration, and installation and support services. This contract will renew the production HP Hardware. The Hewlett Packard Enterprises (HPE) Density Line (DL)380 Servers support a range of patterns and applications in the CDM computing environment. As previously stated in section 3a, drivers of this investment include new analytical initiatives, operations support, and the need to match specific technology investments with changes in use patterns.

In order for maximum integration with existing infrastructure and performance requirements, the following salient characteristics are required:

1. Storage IOPS and Throughput performance shall not be tied to disk count or type.
2. Storage should have the ability to create read-writeable copies of snapshots using no additional disk space through block sharing (Zero Copy Clones).
3. SSD capacity shall be able to be added in packs of 3 or 4 drives; eliminating the need to buy/deploy an all-flash expansion shelf that must be fully populated.
4. SSD use shall be configurable via Automatic, Cache Pinning, and Aggressive Cache performance policies.
5. Replication shall have QoS customizable settings to throttle & schedule replication traffic.
6. Web-based dashboard shall identify, at-a-glance, any volumes at risk for not having snapshot data protection.
7. Storage array shall be expandable with hot-pluggable, hot-add expansion shelves that do not require any downtime for installation & expansion of the file system.
8. All licenses with regards to feature set, management, and tools must be included in the price with no additional maintenance charge.
9. Storage should be upgradeable in place, non-disruptively, to next level controller without forklift upgrade or data migration for maximum investment protection.
10. ILO management – all existing servers are configured using ILO.
11. Storage platform must be FIPS 140-2 Certified using software-based encryption at rest.
12. RAM compatibility – all existing servers use HP RAM and if RAM needs to be upgraded using available DIMMs, required to be HP RAM.
13. Hard Disk compatibility – all existing servers use HP disks (size and form

DEPARTMENT OF THE TREASURY
SF 1014 - JUSTIFICATION FOR AN EXCEPTION
TO FAIR OPPORTUNITY
ACQUISITION TITLE: IRS HP Brand Name Servers

factor); if upgrading or modification is needed, the disks will be required to be HP disks.

14. Storage shall be able to replicate between Hybrid-Flash and All-Flash models.
15. Storage array shall use not require eMLC drives.
16. SSD compatibility – all existing servers use HP SSDs (size and form factor); if upgrading or modification is needed, the disks will require HP SSDs
17. NVME RAM - all existing servers use HP NVME RAM (size and form factor); if upgrading or modification is needed, the RAM will require HP NVME.
18. SAN connectivity - all existing servers use HP Fiber channel cards; if upgrading or modifications are needed, the fiber channel cards required are HP.

Attempting to switch to a different product or a generic version of HP for this acquisition would result in system failure and not be able to meet the technical requirements listed above. The impact of system failure would terminate support for multiple enterprise analytics processes required to carry out enforcement functions such as identity theft prevention, revenue protection, fraud detection, and non-compliance issue identification. Additionally, any server other than the HPE DL380 would introduce security vulnerabilities into the system which threatens taxpayer privacy and information security. It would lead to the Agency failing to integrate the solution into the existing cyber environment. Any other hardware would put the Agency at risk by not being able to keep the hardware compliant with IRM 10.8.1.4.5.1 CM-02 Baseline Configuration. In addition, the IRS will inherit additional cost in implementation of incompatible hardware brands with current onsite twenty-four-hour HPE servers and components in the IRS facilities (Memphis, Martinsburg, and Ogden).

5. A determination that the anticipated cost to the Government will be fair and reasonable:

The Contracting Officer determines that the anticipated price(s) will be fair and reasonable based on competition, comparison of prices with the Independent Government Cost Estimate and established commercial catalog prices.

6.a Any other facts supporting this justification:

Market research has been conducted via available Best-In-Class (BIC) on 07 August 2024, to assess competition. As a result, NASA SEWP vendors are capable of meeting the proposed requirements as documented in the Market Research Report.

Selection will be based on lowest price technical acceptable via NASA SEWP.

The following RS700-E10-RS12U and PowerEdge R6525 alternatives were considered but do not meet the technical Hyper Converged Infrastructure (HCI) performance requirements below:

Alternative	Remote Management	SAN Compatibility	Drive Compatibility	Technical Resources
HPE DL380	iLo	Direct Driver/Vendor compatible *Preferred brand name)	Hot Spares exist on site	Staff is primarily trained on this equipment, Resource and knowledge exist on site for physical repairs, Compatible

DEPARTMENT OF THE TREASURY
SF 1014 - JUSTIFICATION FOR AN EXCEPTION
TO FAIR OPPORTUNITY
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				with all IT Processes, salient performance properties are only matched with HP HCI
RS700-E10-RS12U	N/A	(Incompatible) *This identified resource explains the reasoning on why we need brand name	No Hot Spares exist on site	Incompatibly with IT Processes, No Vendor available to repair on site, lowered performance capabilities
PowerEdge R6525	DRAC	(Incompatible) *This identified resource explains the reasoning on why we need brand name	Not Hot Spares exist on site	Incompatibly with IT Processes, No Vendor available to repair on site, lowered performance capabilities

HPE products are the proprietary intellectual property of HPE Corporation and use is on a permissive license basis only. Therefore, only HPE or HPE Authorized Government resellers on NASA SEWP can meet the Government requirements for continued support of CDM computing environment. Failure to award this brand name requirement will result in agency failure to meet the above federal directives and expose taxpayer information to unauthorized disclosure.

6.b Attachments: ☐ No ☒ Yes

7. A statement of the actions, if any, the Requiring Activity and Contracting Activity may take to remove or overcome any barriers that led to the exception to fair opportunity before any subsequent acquisition for the supplies and services is made:

HP products is currently supporting existing government infrastructure. CDM and the IRS CIO will continue to investigate the marketplace for the best solutions. New software, when purchased, will be Commercial Off the Shelf (COTS) products wherever possible so that maintenance can be performed by multiple vendors.

DEPARTMENT OF THE TREASURY
SF 1014 - JUSTIFICATION FOR AN EXCEPTION
TO FAIR OPPORTUNITY
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8. Certifications and Approvals:

8.a Program Office Certification (Requiring Activity). I hereby certify that any supporting information and data provided (e.g., the Government's minimum needs or requirements, or other rationale for the limited sources) and which form the basis for this justification for an exception to fair opportunity, are accurate and complete to the best of my knowledge and belief.

Name: _____ Date: _____

Signature: _____

8.b Contracting Officer Certification and Approval. I certify this justification for an exception to fair opportunity is accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the authorized contracting officer for this acquisition, I hereby approve the processing of this requirement based on the authority specified in 4.a above.

Name: _____ Date: _____

Signature: _____

9. Additional Reviews and Approvals (As applicable):

9.a Bureau Chief Information Officer or Authorized Designee (for IT requirements that are over \$5 million, but not exceeding \$75 million) (Contracting Activity). I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief, and representative of the Government's need. Therefore, I hereby consent to the approval of this justification. (Note: The Bureau CIO may delegate their authority for proposed contracts over \$5 million, but not exceeding \$15 million to the Associate Bureau CIO(s).)

Name: _____ Date: _____

Signature: _____

9.b Advocate for Competition (if over \$750,000, but not exceeding \$15 million) (Contracting Activity). I have reviewed this justification for an exception to fair opportunity and find it to be accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the ordering activity's Advocate for competition, I hereby approve this justification based on the authority specified in 4.a above.

Name: _____ Date: _____

Signature: _____

9.c Head of the Procuring Activity or Authorized Designee (if over \$15 million, but not exceeding \$75 million) (Contracting Activity). I have reviewed this justification for an exception to fair opportunity and find it to be accurate and complete to the best of my

DEPARTMENT OF THE TREASURY
SF 1014 - JUSTIFICATION FOR AN EXCEPTION
TO FAIR OPPORTUNITY
ACQUISITION TITLE: IRS HP Brand Name Servers

knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the head of the procuring activity or authorized designee, I hereby approve this justification based on the authority specified in 4.a above.

Name: _____ **Date:** _____

Signature: _____

9.d Treasury Chief Information Officer (for IT requirements that are over \$75 million). I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief, and representative of the Government's need. Therefore, I hereby consent to the approval of this justification.

Name: _____ **Date:** _____

Signature: _____

9.e Senior Procurement Executive (if over \$75 million) (Contracting Activity). I have reviewed this justification for an exception to fair opportunity and find it to be accurate and complete to the best of my knowledge and belief. Therefore, as the senior procurement executive, I hereby approve this justification based on the authority specified in 4.a above.

Name: _____ **Date:** _____

Signature: _____